UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2011/2012

APRIL EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

THURSDAY, 26 APRIL 2012 TIME: 9.00AM – 12.00 NOON (3 HOURS)

BACHELOR OF FINANCE (HONS)
BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

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Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) Iniesta Berhad. a Malaysian processed-food manufacturer, has ordered raw materials for its production in Malaysia and the final payment of Peso 3,500,000 is due to Hernandez Corporation, its Mexican supplier, in 90-days time. Iniesta Berhad is currently short of cash, but expects to receive RM 1,200,000 from its domestic plus export sales in 90-days time. Its capital structure is currently below the industry average debt-to-equity ratio, and it has a 9.50% weighted average cost of capital.

Current rates in the foreign exchange markets and money markets are as follows:

Spot (Peso/RM)	3.6230 – 3.6880
90-day forward	50 – 20 points

Money Market	90-day Borrowing	90-day Deposit
RM	6.0%	4.8%
Peso	8.5%	7.0%

(i) Compute 90-day outright forward rates. (3 marks)

(ii) Compute total payment in RM if Iniesta Berhad implements forward market hedge. (3 marks)

(iii) Compute total payment in RM if Iniesta Berhad implements money market hedge. (12 marks)

(iv) Compute total payment in RM if Iniesta Berhad implements leading hedge. (6 marks)

(v) Which is the best hedging alternative for Iniesta Berhad? (2 marks)

(b) What is the impact of Interest Rate Parity (IRP) on the comparison between outcomes from forward market hedge and money market hedge? (5 marks)

(c) Explain how does each of the following factors likely to affect net foreign direct investment account of a particular host country's Balance of Payments.

(i) Host country government has just acquired some of the local private enterprises in its economy's major sectors. (3 marks)

(ii) Host country government increased the rate of capital allowance on expenditures spent by MNCs on fixed assets. (3 marks)

(iii) Host country currency is currently strong, but is expected to weaken over time in the future. (3 marks)

[Total: 40 marks]

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Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) A British importer has to pay for American goods, but the exchange rate is temporarily unfavourable from the British perspective. Describe the Eurodollar market and state how it might help the importer. (4 marks)

(b) Time Warner is trying to decide whether to license foreign companies to produce its films and records or to set up foreign sales affiliates to sell its products directly. What factors might determine whether it expands abroad via licensing or by investing in its own sales force and distribution network? (10 marks)

(c) Under floating exchange rate system, why does a country that has current account deficit (surplus) will usually have capital and financial account surplus (deficit) at the same time? Why does China encounter 'double surplus' in recent years? (5 marks)

(d) In the 1990s, Southeast Asia was the most attractive region of foreign direct investment inflows, but it ceased to be so in the last decade although the region has generally recovered from the Asian Financial Crisis. Give **TWO (2)** main reasons for the reduction in foreign direct investment inflows into the region. (5 marks)

(e) Identify each party to a letter of credit and indicate its responsibility. For what reason might an exporter uses standard international trade documentation (letter of credit, draft, order bill of lading) on an intra-company export to its parent or sister subsidiary? (6 marks)

[Total: 30 marks]

Section B (continued)

Q2. (a) Assume you are a foreign exchange trader at Citibank. You have RM 3,000,000 to execute an uncovered interest arbitrage (UIA) in the U.S. money market. You see the following rates from your terminal.

Spot exchange rate	RM3.4450/$ - RM3.4800/$
Future spot rate in 3-months time	RM3.4350/$ - RM3.4700/$ (expected)
3-month Ringgit interest rate	3.00%
3-month U.S. dollar interest rate	9.00%

(i) Calculate the amount of uncovered interest arbitrage profit in RM? (10 marks)

(ii) What is the future spot rate that will make uncovered interest arbitrage operation break-even? Interpret whether there will be arbitrage profit or loss if the future spot rate is above or below the break-even future spot rate. (5 marks)

(b) If investors could earn covered interest arbitrage profits in British Pound money market, how should market forces realign RM/£ spot and 180-day forward rates to restore Interest Rate Parity. Currently, the interest rates in Ringgit and British Pound money markets are 5% and 2.8% respectively. (5 marks)

(c) Assume the following quotes:

Citibank quote:	$1.6300/£
Barclays Bank quote:	€1.3800/£
Standard Chartered Bank quote:	$1.2330/€

Calculate $/€ cross rate. Determine whether the euro is overvalued or undervalued against the dollar at the rate quoted by Standard Chartered Bank. Calculate how much intermarket arbitrage profits a market trader with $5,000,000 can make.

(10 marks)

[Total: 30 marks]

Section B (continued)

Q3. (a) Explain **TWO (2)** possible strategies that a multinational corporation can adopt to reduce political risk exposure of its foreign subsidiaries.

(6 marks)

(b) Galaxy Travel Berhad, a Malaysian multinational conglomerate that operates several five-star hotels and low-cost airlines across Southeast Asia countries, has recently decided to be the main sponsor of Real Mad Football Club (RMFC), one of the world's most popular football clubs. Under this sponsorship deal, Galaxy Travel will pay €30 million to RMFC in each of the next three years. In return, Galaxy Travel's company logo will solely appear on RMFC players' jersey. Jose Fernandez, Chief Executive Officer of Galaxy Travel, believes that recent signings of superstar footballers such as Cristiano Ronaldo and Lionel Messi by RMFC will attract more television broadcast coverage all over the globe for football matches that involve RMFC and hence will help to advertise Galaxy Travel vacation packages to more potential tourists from Europe. Galaxy Travel provides online bookings of vacation packages to individuals as well as engages in business relationships with hundreds of travel agencies. His marketing research team has estimated that this sponsorship deal will generate annual net cash inflows (after deducting operating expenses, commissions to travel agencies and sponsorship fees) of €20 million, €55 million and €80 million respectively over the next three years.

Jose Fernandez has planned to finance this sponsorship deal by borrowing a one-year U.S. dollar loan of $40 million from Citibank, as well as by retained earnings. These financing arrangements will move Galaxy Travel's capital structure to the optimal mix of 33 percent debt and 67 percent equity. Under the terms of the loan, there will be an up front fee of 6.25 percent and interest charges of 2 percent per annum. This loan is expected to be rolled over with similar terms in coming years as Galaxy Travel has maintained good credit ratings since the last 20 years. Currently, the spot exchange rates are traded at $1.2500/€, RM4.3750/€ and RM3.5000/$. In addition, its Finance Manager has forecasted that Ringgit will depreciate by 1.5 percent per annum against U.S. dollar due to Malaysian government's effort to weaken the Ringgit in order to boost exports demand. Besides, the Finance Manager also forecasted that the Consumer Price Index will continuously rise by 7 percent per annum and 4 percent per annum in Malaysia and Euro zone respectively.

Currently, Galaxy Travel Berhad's share is traded at RM10.80 per share in Bursa Malaysia and with a stock beta of 1.25. Risk free interest rate in Malaysia is 3.5 percent and the FTSE Kuala Lumpur Composite Index (KLCI) return is 15.5 percent. Galaxy Travel Berhad is subject to a corporation tax rate of 25 percent in Malaysia and there is no double taxation on its foreign net operating cash inflows.

Section B Q3. (b) (continued)

As an assistant to the Finance Manager of Galaxy Travel Berhad, you are required to complete the following tasks:

(i) Compute the effective cost of borrowing in RM terms. (9 marks)

(ii) Compute cost of equity and weighted average cost of capital, assuming the effective cost of borrowing in part (i) above is the before tax cost of debt. (5 marks)

(iii) Assuming the theory of Relative Purchasing Power Parity (PPP) holds, estimate RM/€ future spot exchange rate and annual net cash inflows in RM for each of the next three years. (6 marks)

(iv) Compute the Net Present Value (NPV) of the sponsorship deal with RMFC. Should it be undertaken? (4 marks)

[Total: 30 marks]